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Unimicron | Asia Pacific

Very strong preliminary April profits

Key Takeaways

- Unimicron reported April 2026 profit numbers per regulatory requirements by TWSE.
- Unimicron's April 2026 revenue was NT\$13.9B.
- April 2026 NP was NT\$2,844M (+4,387% y/y), which accounts for 85% and 65% of our and the Street's 2Q26 NP estimates respectively.
- April prelim profits imply significant upside to both our and the Street's estimates.

Stay OW: Unaudited preliminary April numbers announced by Unimicron imply significant upside to our and the Street's 2Q and likely full-year numbers as well, all else being equal. We don't have visibility into how much of this beat is driven by non-op gains, but we are of the view that better pricing, mix, and utilization rate is driving some of the beat, particularly in ABF and BT substrates. Unimicron reported [prelim March profits](#) last month with net margin at 8.7% only, implying a 1170bps q/q improvement for the month of April. Our supply chain checks suggest that ABF substrate pricing adjustments were more meaningful in 2Q, which aligns with management's comments on more prompt pricing adjustments in response to raw material cost inflation. We reiterate our OW on the stock, as we believe we are in the early innings of an AI-driven up-cycle, with under-supply kicking in from CY27 onwards ([see here for our recent upgrade report](#) and a [more recent report in which we raised our price target and earnings estimates](#)). We prefer Unimicron to NYPCB and Zhen Ding over a 12-month view.

Exhibit 1: Unimicron's preliminary April 2026 profit numbers

NT\$ M	2Q26			
	Apr-26	y/y	MSe	Cons
Revenue	13,933	28%	46,131	42,512
Pre-tax profit	3,460	2809%	4,889	5,970
Net profit	2,844	4387%	3,329	4,376
EPS (NT\$)	1.85	4725%	2.16	2.83
Pre-tax margin	24.8%		10.6%	14.0%
Net margin	20.4%		7.2%	10.3%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

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Unimicron (3037.TW, 3037 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$1,225.00
Up/downside to price target (%)	13
Shr price, close (May 27, 2026)	NT\$1,080.00
52-Week Range	NT\$1,110.00-96.10
Sh out, dil, curr (mn)	1,505
Mkt cap, curr (mn)	US\$51,721
EV, curr (mn)	US\$54,152
Avg daily trading value (mn)	US\$335

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.34	11.62	24.03	49.08
EPS (NT\$)§	3.93	14.25	27.56	48.55
Revenue, net (NT\$ mn)	131,241	186,189	260,849	352,349
EBITDA (NT\$ mn)	26,272	38,839	66,449	114,178
ModelWare net inc (NT \$ mn)	6,673	17,879	36,979	75,534
P/E	50.7	93.0	44.9	22.0
P/BV	3.2	13.7	11.1	8.0
RNOA (%)	3.7	8.3	18.3	35.5
ROE (%)	6.7	16.7	30.5	50.3
EV/EBITDA	15.8	43.9	25.4	14.4
Div yld (%)	0.7	0.2	0.5	1.0
FCF yld ratio (%)	(0.6)	1.6	3.9	6.1
Leverage (EOP) (%)	(8.6)	(30.9)	(63.9)	(87.6)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Unimicron 3037.TW			
Preliminary April profits announcement	27 May 2026	Strengthens	↑ Meaningful upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 15%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

Zhen Ding (4958.TW)

Base case, residual income model. Key assumptions include a cost of equity of 10%, a medium-term growth rate of 15% and a terminal growth rate of 3%.

Risks to Upside

- Higher-than-expected F-PCB content increase for iPhones
- Better-than-expected production yield/share allocation for SLP
- Share gains on higher margin F-PCB pieces

Risks to Downside

- Worse-than-expected iPhone sell-through
- Lower-than-expected F-PCB content increase for iPhones
- Worse-than-expected production yield/share allocation for SLP
- Increasing competition from Chinese peers, intensifying pricing pressure

Nan Ya PCB (8046.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.3% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 17%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF and BT demand
- Faster-than-expected pickup in AI and 5G demand
- Stronger-than-expected ASP hike

- Continued yield issues of alternative technology that doesn't require substrate (e.g. CoWoP)

Risks to Downside

- A sudden demand shortfall, creating headwinds for ABF substrate demand and pricing
- Technological change that would not require ABF substrates
- Intensifying competition

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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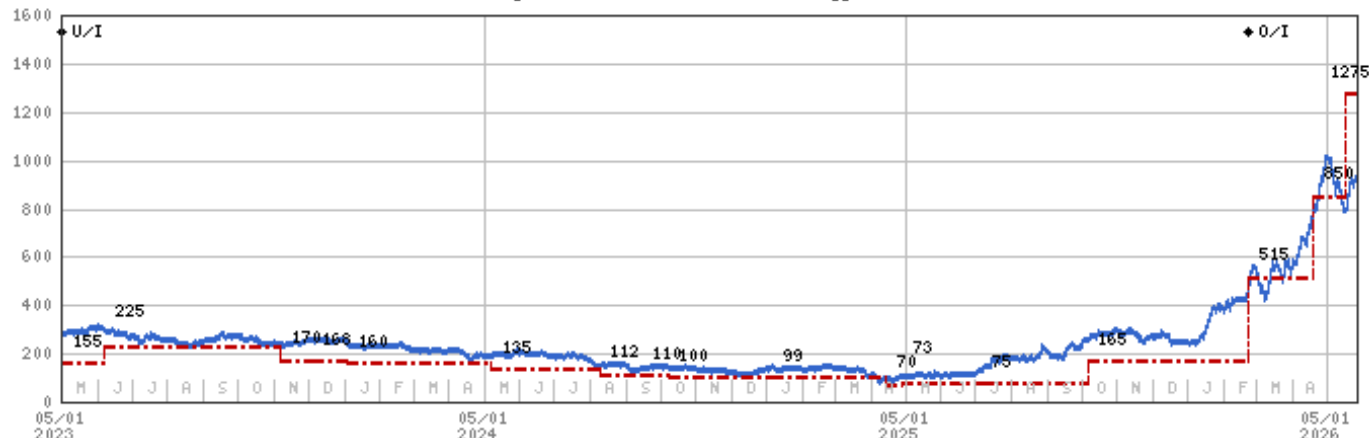
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Stock Price, Price Target and Rating History (See Rating Definitions)

Nan Ya PCB (8046.TW) - As of 05/27/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 5/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 12/21/22 : U/I; 2/23/26 : O/I

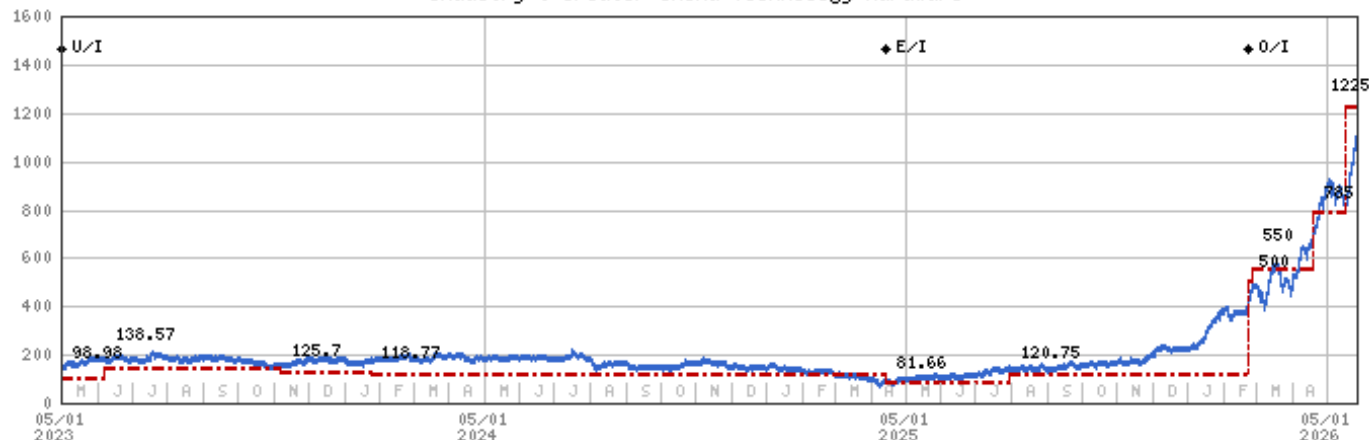
Price Target History: 10/22/21 : 580; 11/9/21 : 630; 2/9/22 : 650; 2/25/22 : 670; 6/1/22 : 420; 8/23/22 : 275; 10/27/22 : 235; 12/21/22 : 180; 2/2/23 : 165; 2/25/23 : 155; 6/7/23 : 225; 11/7/23 : 170; 12/4/23 : 168; 1/4/24 : 160; 5/7/24 : 135; 8/9/24 : 112; 9/15/24 : 110; 10/8/24 : 100; 1/6/25 : 99; 4/15/25 : 70; 4/29/25 : 73; 7/7/25 : 75; 10/6/25 : 165; 2/23/26 : 515; 4/20/26 : 850; 5/18/26 : 1275

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Unimicron (3037.TW) - As of 05/27/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 5/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 2/22/23 : U/I; 4/15/25 : E/I; 2/23/26 : O/I

Price Target History: 10/22/21 : 188.06; 10/27/21 : 237.55; 2/9/22 : 267.24; 2/24/22 : 366.22; 6/1/22 : 237.55; 8/23/22 : 178.16; 10/27/22 : 133.62; 12/21/22 : 123.72; 2/2/23 : 116.79; 2/22/23 : 98.98; 6/7/23 : 138.57; 11/7/23 : 125.7; 1/24/24 : 118.77; 4/15/25 : 81.66; 7/30/25 : 120.75; 2/23/26 : 500; 2/26/26 : 550; 4/20/26 : 785; 5/18/26 : 1225

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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Zhen Ding (4958.TW) - As of 05/27/26 GMT in TWD
Industry : Greater China Technology Hardware



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/27/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$44.72
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb202.70
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$29.06
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.38
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb17.71
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb695.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$585.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.63
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb31.65
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,505.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb10.02
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.37
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$9.35
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb78.80
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$45.62
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb61.55
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$75.15
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb428.61
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb18.75
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.40
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb366.10
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$206.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb139.58
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb42.05
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,111.37
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$24.60

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb34.82
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,620.00
Advantech (2395.TW)	O (01/20/2021)	NT\$509.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,435.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$21.80
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,115.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.72
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,395.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,625.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$249.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$74.30
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$409.00
Innolux (3481.TW)	E (04/07/2025)	NT\$50.20
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$4,920.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb40.28
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$101.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb16.61
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.68
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.22
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb209.79
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$701.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$33.40
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$8.62
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$332.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,375.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.52
Lenovo (0992.HK)	E (11/16/2025)	HK\$19.00
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,625.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$905.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$82.10
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$312.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb131.76
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb396.05
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,080.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$145.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,075.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$701.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$532.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,700.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,035.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$208.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,520.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,740.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb70.08
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$59.70
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb28.27
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$264.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,885.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb15.52
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$246.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb71.59

Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$162.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$254.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$418.50

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